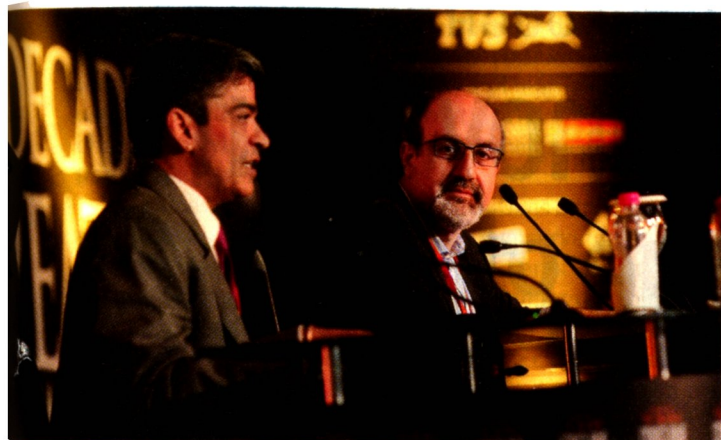




TALEB (RIGHT) WITH SESSION CHAIRPERSON SHANKKAR AIYAR

but may know a lot about which environments are vulnerable to black swans and which environments are not vulnerable to black swans. It has to do with robustness, it is so obvious. Cab drivers will pick up my point, but my problem is that most of you study too much and lose sight of the idea.

We are building all these risk management systems based on exposure to events that we deem are rare, and we know nothing about them. The rarer they are the bigger the consequences. I place events in two categories: mediocristan and extremistan. Mediocristan is a province with some characteristics and extremistan is with other characteristics and the difference between the two of them will enlighten us to where black swan opportunities and dangers are located.

Gather 100 people from different parts of the world and weigh them all. The heaviest of them will not represent more than 0.3 per cent of the total. Very simply there are domains in which, when your sample is very large, no single observation can disrupt the total. Take another sample of 1,000 people and add to the sample the wealthiest person of the planet. He could be worth \$64 billion while others are in millions. Everything in extremistan will come from an exception.

Everything almost in economic life is dominated by exception, so we have to make sure that you are both protected from some classes of events and are exposed to another class of events. So there is a beneficial black swan and a negative

black swan. I believe every year millions write novels of which only 22,000 are published. How many of these will represent half the sales depends on whether a lady is writing about a certain boy called Harry. Two hundred years ago few people read in India in the same language. People read in different languages. So you could not have the Harry Potter effect. But now the whole planet is reading a single book.

Today everything is exacerbated. Globalisation is making it more from extremistan, allow more from extremistan. Which brings me to the turkey problem, my approach to the black swan. In *The Black Swan*, a turkey is fed for a 1,000 days by a butcher. For 1,000 days the butcher shows love to the turkey. And then comes the 1,001th day and the butcher will surprise the turkey. So the turkey will have a black swan event; it's a big surprise for the turkey. Is it a big surprise for the butcher? No. So the whole idea is not to be the turkey.

Let me discuss fragility for a minute. My model is mother nature. Unlike human beings who engineer things that are optimal, nature likes redundancy. It likes things to be small so that they don't impact others when they break. If an economist has to design a human being, he will say 95 per cent of the lung capacity is unused, you don't need two kidneys and so on. Optimisation produces good numbers but makes it fragile and the probability is that you will go bust. I borrow one kidney and, instead of building on capital, I borrow Goldman Sachs 33 times my capital and call myself conservative and optimal.

Surely, the meltdown was going to happen. The most fragile thing was the banking system. I kept saying to anybody who would listen to me that the banking system was going to go under. Barack Obama is still surrounded by people. He has them specially from MIT, he doesn't know what he is talking about, he doesn't know what is extremistan. And the problem is, of course, we are not doing very well because before the crisis we had less debt than today. And today we are moving private debt to government debt. And so we are still where we were before the crisis. No one's realising what's going on. That's what I have to say.

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DISCUSSION

Q. A few years ago a Japanese writer predicted end of nation states. But we still see new nation states being built. Do you see coming together of nations on the basis of an ideology or even religion, as we see sometimes?

A. The nation state is a very modern invention and is very

unstable. The city state was a very robust model. The nation states require big governments which keep swelling and go out of control and then they wage wars. We saw what happened to the Soviet Union. So hopefully big states will fall apart and will go back to the old model of city states. Something big typically becomes a lot more fragile

Q. Even though it's facing a crisis, America is an economy where the per capita income is \$40,000. In India, it is \$1,000. We would happily trade our current position and have a banking crisis if that could get us there. So is there some lesson there?

A. India is more robust than the US. The people in the US have high

income but they are addicted to high level of debt, high level of spending supported by an incompetent government. There are several countries with a high level of GDP that are very fragile. There are many other elements which make America very fragile. Also people in the West have so much debt. So, GDP is meaningless.